

24NWCV02265 24NWCV02265

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Case Number: 24NWCV02265 Hearing Date: July 15, 2026 Dept: SED

XINHUA QU V. RIMA MASRI, ET
AL.

CASE NO.: 24NWCV02265

HEARING: 07/15/2026 @ 9:30 a.m.

#7

TENTATIVE ORDER

Defendant Innovate Realty Inc.'s
unopposed demurrer is SUSTAINED WITH LEAVE TO AMEND.

Defendant Innovate Realty
Inc.'s unopposed motion to strike is MOOT.

Plaintiff Xinhua Qu shall file
and serve a Third Amended Complaint within 30 days of notice of this ruling.

Moving party to give notice.

Defendant Innovate Realty Inc. (Innovate
Realty) demurs as to the Second Amended Complaint (SAC) of Plaintiff Xinhua Qu
(Plaintiff). Innovate Realty also moves
to strike portions of the SAC.

Background

On October 22, 2025, Plaintiff filed the operative SAC against Defendants Rima Masri, Andrew Ballesteros, Brij Prasad, Viviana Guerrero, Chicago Title Company, Citadel Servicing Corporation, Innovate Realty Inc., and Does 1 through 100, inclusive, asserting eight causes of action: (1) Breach of Contract; (2) Cancellation of Instrument; (3) Fraud; (4)-(6) Negligence; (7) Negligent Infliction of Emotional Distress; and (8) Violation of Cal. Financial Code Section 4053(a)(1).

On June 10, 2026, Innovate filed the instant demurrer and motion to strike.

On July 9, 2026, Plaintiff filed an untimely notice of non-opposition acknowledging the deficiencies in the SAC and requesting to leave to amend.

Legal Standard

As a general matter, in a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. *¿* (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleading alone, and not the evidence or facts alleged.” (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint’s properly pleaded or implied factual allegations. (Id.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Id.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240,

245).

Plaintiff is only required to

allege ultimate facts, not evidentiary facts.

(See *Committee on Children's Television, Inc. v. General Foods Corp.* (1983)

35 Cal.3d 197, 212 ["the complaint should set forth the ultimate facts

constituting the cause of action, not the evidence by which plaintiff proposes

to prove those facts"]; 1 Cal. Affirmative Def. § 10:2 (2d ed.) [allegations of

agency, course and scope of employment, etc. qualify as ultimate facts].) Plaintiff's allegations must be accepted as

true on demurrer. (See *Yvanova v. New*

Century Mortgage Corp. (2016) 62 Cal.4th 919, 924 ["For purposes of

reviewing a demurrer, we accept the truth of material facts properly pleaded in

the operative complaint"].)

Meet and Confer

Code of Civil Procedure section

430.41, subdivision (a) requires the moving party to meet and confer "in

person, by video conference, or by telephone" in an attempt to resolve a

demurrer's deficiencies five days before the responsive pleading is due. (Code Civ. Proc. § 430.41, subd. (a)(2).)

The Court finds that Innovate

Realty has fulfilled the meet and confer requirement. (Miller Decl., ¶¶ 3-4.)

Analysis

Innovate Realty demurs to the second

cause of action for Cancellation of Instrument on the grounds that the SAC

fails to state facts sufficient to constitute a cause of action against it.

When alleging a cause of action

for cancellation of deeds, "A deed is void if the grantor's signature is forged

or if the grantor is unaware of the nature of what he or she is signing. A voidable deed, on the other hand, is one

where the grantor is aware of what he or she is executing, but has been induced

to do so through fraudulent misrepresentations. The same rules apply to the reconveyance of

the property interest under a deed of trust as to the conveyance of property by

grant deed." (*Schiavon v. Arnaudo*

Brothers (2000) 84 Cal.App.4th 374, 378.)

Innovate Realty argues that the

SAC contains no factual allegations showing that it prepared, executed, notarized, benefited from, or otherwise participated in the creation or recording of the allegedly forged instrument. (Demurrer, p. 4.) Rather, Innovate Realty contends that the only substantive allegation against it is that Defendant Rima Masri sold the Property through Innovate Realty. (Ibid.)

Here, Plaintiff alleges that the June 12, 2024 Full Reconveyance is void because it bears Plaintiff's forged signature and clouds title to the Property. (SAC ¶¶ 34-37.) However, the SAC fails to allege any facts connecting Innovate Realty to the creation, execution, notarization, recording, or use of the allegedly forged Reconveyance. Instead, Plaintiff alleges only that Innovate Realty was the broker of record for Defendant Masri and that Masri acted through Innovate Realty in selling the Property. (SAC ¶¶ 6, 20.)

These allegations are insufficient to state a claim for cancellation of instrument against Innovate Realty.

Accordingly, the Court SUSTAINS Innovate Realty's demurrer as to the second cause of action.

Leave to Amend

Where the defect raised by a motion to strike or by demurrer is reasonably capable of cure, leave to amend is routinely and liberally granted to give the plaintiff a chance to cure the defect in question. (Velez v. Smith (2006) 142 Cal.App.4th 1154, 1174; see also McKenney v. Purepac Pharmaceutical Co. (2008) 167 Cal.App.4th 72, 78.) The burden of demonstrating a reasonable possibility that the defect can be cured by amendment "is squarely on the plaintiff." (Id.; see also Goodman v. Kennedy (1976) 18 Cal.3d 335, 349 ["Plaintiff must show in what manner he can amend his complaint and how that amendment will change the legal effect of his pleading."])

Here, Plaintiff filed an untimely notice of non-opposition requesting leave to amend. Because the filing was untimely, the Court declines to consider it. Nevertheless, this is the first demurrer challenging the sufficiency of the allegations

against Innovate Realty. Under these circumstances, and in light of California's liberal policy favoring amendment, the Court will exercise its discretion to grant Plaintiff leave to amend.

Accordingly, Innovate Realty's demurrer is SUSTAINED WITH LEAVE TO AMEND.

Motion to Strike

The court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. (Code Civ. Proc., § 436, subd. (a).) The court may also strike all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Id. at § 436, subd.(b).) The grounds for a motion to strike are that the pleading has irrelevant, false or improper matter, or has not been drawn or filed in conformity with laws. (Id. at § 436.) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (Id. at § 437.)

In light of the Court's ruling sustaining the demurrer with leave to amend, the Court declines to rule on the motion to strike. Because Plaintiff will have an opportunity to amend the pleading, Innovate Realty may renew any appropriate challenges to the amended complaint, if necessary.

Accordingly, the motion to strike is MOOT.

Conclusion

Based on the foregoing, Defendant Innovate Realty Inc.'s unopposed demurrer is SUSTAINED WITH LEAVE TO AMEND.

Defendant Innovate Realty Inc.'s unopposed motion to strike is MOOT.

Plaintiff Xinhua Qu shall file and serve a Third Amended Complaint within 30 days of notice of this ruling.